

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 17-07

**PORT ELIZABETH TERMINAL & WAREHOUSE CORP.
COMPLAINANT**

v.

**THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY
RESPONDENT**

**MEMORANDUM AND BRIEF OF COMPLAINANT PORT ELIZABETH
TERMINAL & WAREHOUSE CORP. EXCEPTING TO CONCLUSIONS,
FINDINGS, OR STATEMENTS CONTAINED IN THE INITIAL DECISION
OF HONORABLE ERIN M. WIRTH, ADMINISTRATIVE LAW JUDGE
Oral Argument Requested**

Complainant Port Elizabeth Terminal & Warehouse Corp. submits this Memorandum and Brief excepting to conclusions, findings, or statements contained in the initial decision of Honorable Erin M. Wirth, Administrative Law Judge (I.D.) dated March 25, 2019 pursuant to 46 C.F.R. 502.227:

PRELIMINARY STATEMENT

The Shipping Act sets forth four specific purposes:

- (1) establish a nondiscriminatory regulatory process for the common carriage of goods by water in the foreign commerce of the United States with a minimum of government intervention and regulatory costs;
- (2) provide an efficient and economic transportation system in the ocean commerce of the United States that is, insofar as possible, in harmony with, and responsive to, international shipping practices;
- (3) encourage the development of an economically sound and efficient liner

fleet of vessels of the United States capable of meeting national security needs; and
(4) promote the growth and development of United States exports through competitive and efficient ocean transportation and by placing a greater reliance on the marketplace.

46 U.S.C. § 40101.

As the Third Circuit has observed: “Taken together, these purposes show that the Act seeks to promote economically sound, **evenhanded**, and efficient ocean commerce that responds to international shipping practices.” *In re Vehicle Carrier Servs. Antitrust Litig.*, 846 F.3d 71, 79-80 (3d Cir. 2017) (emphasis added); *see also Waterfront Comm’n of N.Y. Harbor v. Elizabeth– Newark Shipping, Inc.*, 164 F.3d 177, 185 (3d Cir. 1998) (“The primary purpose of the Shipping Act . . . is to eliminate discriminatory treatment of shippers and carriers.”).

In order to promote “evenhanded and efficient” shipping practices, the Shipping Act imposes certain obligations on Marine Terminal Operators. Marine Terminal Operators may not give “any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any person,” 46 U.S.C. § 41106(2); further, a Marine Terminal Operator may not “unreasonably refuse to deal or negotiate,” 46 U.S.C. § 41106(3); and a Marine Terminal Operator must “establish, observe, and enforce just and reasonable regulations and practices.” 46 U.S.C. § 41102(c).

The facts in the instant matter, most of which are undisputed yet overlooked, misinterpreted, misapplied and/or disregarded by I.D., support the conclusion that the

respondent Port Authority of New York and New Jersey (PANYNJ) violated the Shipping Act by unreasonably prejudicing complainant Port Elizabeth Terminal & Warehouse Corporation (PET&W) and favoring other tenants at Port Newark and by failing to establish, observe and enforce “just and reasonable regulations and practices.”

LEGAL ANALYSIS

The I.D. finding that the Port Authority was justified in its treatment of PET&W and did not give undue or unreasonable preference or advantage to other entities or undue or unreasonable prejudice or disadvantage to PET&W is flawed and must be rejected¹

The analysis set forth in the I.D. is flawed and fails to recognize that the “undue or unreasonable preference or advantage” of other tenants and the “undue or unreasonable prejudice or disadvantage” of PET&W began with the PANYNJ’s decision to displace PET&W from its leasehold in order to accommodate the expansion of operations of Port Newark Container Terminal (PNCT) at Port Newark and not negotiating with PET&W regarding its proposal for expansion on alternate property. After being displaced, the PANYNJ engaged in a pattern of preferring other tenants and refusing to deal with PET&W and as a result, PET&W suffered serious economic setbacks. These economic setbacks were a convenient pretext for the PANYNJ to refuse

¹ PET&W incorporates by reference its prior submissions for the record pursuant to Rule 206. This is necessary because the I.D. fails to properly evaluate the numerous genuine issues of material fact that are evident from the submissions of the parties and simply states: “findings of fact not included in this initial decision were rejected, either because they were not supported by the evidence or because they were not dispositive or material to the determination of the allegations of the complaint or the defenses thereto.” This failure to identify and articulate the basis for resolving disputed issues of fact, which were resolved without a hearing, is unfair to the Commission and to the parties and the I.D. factual analysis must be rejected.

to negotiate with PET&W even though the undisputed facts demonstrate the PANYNJ's contention that it does not negotiate with tenants in arrears was not followed uniformly, some tenants being afforded unexplained and unjustified preferential treatment over PET&W.

For instance, after PET&W vacated its leased premises in favor of PNCT as directed by the PANYNJ, the PANYNJ refused to provide suitable space to PET&W's even though suitable space was available. One parcel the PANYNJ leased to a tenant for container storage (Columbia Coastal) and another parcel (1400 Aruba Street) the PANYNJ ordered PET&W to vacate for sprinkler repairs but never repaired the sprinklers and the building remains vacant today.

A. The I.D. incorrectly rejects the un rebutted testimony of the PANYNJ's representative, designated pursuant to Federal Rule of Civil Procedure 30(b)(6), that the PANYNJ did not have any facts that would 1) justify the PANYNJ's failure to allow PET&W to negotiate for the property that was ultimately leased to PNCT and 2) justify the PANYNJ's decision not to allow PET&W to bid on the property that went from FAPS to Coastal Container.

The I.D. disregards the undisputed failure of the PANYNJ's Federal Rule of Civil Procedure 30(b)(6) designated representative to justify its treatment of PET&W as compared with other tenants. Federal Rule of Civil Procedure 30(b)(6) provides, in relevant part:

In its notice or subpoena, a party may name as the deponent a . . . corporation . . . and must describe with reasonable particularity the matters for examination. The named organization must then designate one or more . . . persons who consent to testify on its behalf; and it may set out the matters on which each person designated will testify. . . . The persons

designated must testify about information known or reasonably available to the organization.

Fed. R. Civ. P. 30(b)(6). Thus, “the testimony of the Rule 30(b)(6) designee is deemed to be the testimony of the corporation itself.” *State Farm Mut. Auto. Ins. Co. v. New Horizont*, 250 F.R.D. 203, 212 (E.D. Pa. 2008).

Pertaining to the PANYNJ’s refusal to “deal or negotiate” regarding its proposed expansion while it negotiated with PNCT and gave it the property on which PET&W had been conducting operations (thereby preferring PNCT and prejudicing PET&W), the PANYNJ’s designated representative testified as follows:

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6 Q. Well, we say in this litigation we were
7 never given an opportunity to negotiate for the
8 property or properties that are subject to the PNCT
9 lease. Do you dispute that?

10 A. No.

11 Q. Okay. Do you know the transportation
12 factors -- I’m using that term. You understand what
13 that means. Right? In other words, the Port
14 Authority has to have a basis for making decisions
15 that it makes in treating marine terminal operators
16 differently. You understand that?

17 A. Correct.

18 Q. It has to be a good reason.

19 A. Sure.

20 Q. It has to be a good reason based upon
21 transportation factors, meaning that’s what the port’s
22 in the business of, and the distinctions being made
23 have to advance those interests. Do you understand
24 that?

25 A. Understood.

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1 Q. Okay. That’s part of this shipping
2 world. Right?

3 A. Right.

4 Q. So there has to be an articulation about
5 how one marine terminal operator is being treated as
6 opposed to another marine terminal operator. Do you
7 understand that?

8 A. Uh-hum.

9 Q. Okay. And you're a corporate
10 representative of the Port Authority, and you're here
11 to answer questions about that here today. Is that
12 your understanding?

13 A. Yes.

14 **Q. Okay. So what I'm trying to get at is,**
15 **as a corporate representative, do you have any facts**
16 **that would justify the Port Authority's failure to**
17 **allow Port Elizabeth Terminal & Warehouse Corporation**
18 **to negotiate for the property that was ultimately**
19 **leased to Port Newark Container Terminal?**

20 A. No.

(Deposition testimony of PANYNJ's designated representative taken pursuant to Rule 30(b)(6), RX 77) (emphasis added).

The I.D. improperly rejected the uncontradicted testimony of the PANYNJ's Federal Rule of Civil Procedure 30(b)(6) designated representative regarding the absence of facts "that would justify the Port Authority's failure to allow Port Elizabeth Terminal & Warehouse Corporation to negotiate for the property that was ultimately leased to Port Newark Container Terminal."

Instead of accepting the sworn testimony of the PANYNJ's Federal Rule of Civil Procedure 30(b)(6) designated representative, the I.D. engages in an analysis of so-called "contemporaneous concerns" that were not articulated by the PANYNJ to justify its conclusions. Such blanket disregard of sworn testimony in favor of an analysis of so-called "contemporaneous concerns" never answers the question as to why the PANYNJ did not engage in a competitive process which would have allowed PET&W to negotiate

with the PANYNJ to continue operations on property where it had engaged in business for decades.

B. Other flaws in the I.D. analysis demonstrate a failure to adhere to Shipping Act principles fostering competition and eschewing anti-competitive conduct by marine terminal operators, including public port authorities

The analysis of the allegedly “contemporaneous concerns” as set forth in the I.D. begins with an irrelevant “Lease Comparison” of the PET&W lease entered in 2009 and the PNCT lease in which the PANYNJ agreed to displace PET&W in favor of PNCT. The “Lease Comparison” ignores the undisputed fact that PANYNJ failed to engage in a competitive process which would have allowed PET&W to negotiate. The I.D. further improperly relies upon and quotes a June 15, 2011 article as establishing facts regarding the benefits of the PANYNJ’s lease with PNCT which are in dispute and as to which PET&W objected because these statements are unauthenticated and constitute inadmissible hearsay. As set forth in the Federal Rules of Evidence, “an out of court statement offered to prove the matter asserted in the statement” is not admissible. Fed. R. Evid. 801(c)(6)). The I.D. does not analyze or even address PET&W’s objection to the article. (*See* PET&W’s response to PANYNJ’s proposed Findings of Fact and Conclusions of Law, paragraphs 53 to 54).

The I.D. then discusses PET&W’s arrearages without addressing PET&W’s contention that the arrearages were the result of the anticompetitive course of conduct of the PANYNJ which PET&W contends violated the Shipping Act. For instance, the I.D. states: “PETW started falling behind on its monthly rent payments under the PETW

Agreement in August 2014. RX 365-367, RX 696” but fails to acknowledge the un rebutted facts advanced by PET&W that:

prior to being evicted, Port Elizabeth Terminal & Warehouse Corp. had agreed to PANYNJ’s requests to vacate warehouse space and incurred millions of dollars in relocation expenses based upon assurances by PANYNJ and the longstanding practice of the parties to negotiate in good faith and reach agreement regarding alternative suitable marine terminal facilities at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.’s operations at Port Newark (Verified Complaint, paragraph IV.T) and that the PANYNJ’s Shipping Act violations resulted in PETW started falling behind on its monthly rent payments under the PETW Agreement as of August 2014.

The longstanding arrangement of the PANYNJ providing alternative suitable space to PET&W was acknowledged by PANYNJ’s Federal Rule of Civil Procedure 30(b)(6) designated representative designated but ignored in the I.D.:

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14 Q. So -- well, do you dispute that over
15 those 40 years up until recently, that the Port
16 Authority and Port Elizabeth Terminal & Warehouse have
17 been able to negotiate deals to their mutual
18 satisfaction that accommodates both sides’ interests?

19 A. Yes.

20 Q. And that includes moving the physical
21 location of Port Elizabeth Terminal & Warehouse
22 operation on occasion.

23 A. Yes.

24 Q. So those things are undisputed. Am I
25 right?

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1 A. Yes.

(Deposition testimony of PANYNJ’s designated representative taken pursuant to Rule 30(b)(6), RX 58 to RX 59).

The I.D. acknowledges but fails to give appropriate weight to the undisputed fact that PET&W wrote to the PANYNJ in 2017 stating “[o]ur company was most significantly impacted by the disruption of business resulting from the need to vacate three Port Authority buildings in Port Newark for terminal expansion, and Building 1400 for sprinkler repairs.” (RX 323). The I.D. fails to acknowledge that the PANYNJ’s course of conduct of “undue or unreasonable prejudice or disadvantage” of PET&W and “undue or unreasonable preference or advantage” to other tenants. In this regard, the President of PET&W testified:

14 Q. So you said 191 was on Export Street,
15 right?

16 A. Yes.

17 Q. That was vacated on or about
18 March 31st of 2015?

19 A. Yes. 20

20 Q. That was vacated because the Port
21 Authority requested PETW vacate it?

22 A. That’s correct.

23 Q. You also said building 199 -- where
24 is that building located at?

25 A. That’s Panama Street.

1 Q. Then there is building 194. Where is
2 that located at?

3 A. Panama Street.

4 Q. Let’s go with Building 194. Do you
5 recall when PETW vacated the building at 194 Panama
6 Street?

7 A. March 31, 2015.

8 Q. Did PETW vacate 194 Panama Street on
9 March 31, 2015, because the Port Authority requested
10 it to?

11 A. Yes.

12 Q. What about building 199 Panama
13 Street, do you recall approximately when PETW
14 vacated the building at 199 Panama Street?

15 A. March 31, 2015.

16 Q. Why did PETW vacate the building at
17 199 Panama Street on March 31 of 2015?

18 A. Again, Port Authority requested it.

(Deposition testimony of Patrick Wynne, President of PET&W, RX 325 to RX 326).

As to the building at 1400 Aruba Street, the I.D. acknowledges that PET&W obtained possession of the building pursuant to a sublease agreement it entered into with Tyler Distribution (“Tyler”) on March 1, 2010 “initially with the permission and approval of the PANYNJ” and as of February 28, 2013, PET&W was a holdover tenant. (RX 688). Mr. Wynn testified:

23 Q. Why did PETW vacate the building at
24 1400 Aruba Street on December 31, 2014?

25 A. We were told there was an issue with
1 the sprinkler system and it had to be
2 repaired/replaced and the building needed to be
3 empty to do that.

4 Q. Who told you there was an issue with
5 the sprinkler system?

6 A. Somebody from the leasing department.
7 I can’t tell you specifically who at the Port
8 Authority. In that time frame it may have been Ann
9 Marie Clancy. I’m not a hundred percent sure, but
10 it was somebody in the leasing department.

(Deposition testimony of Patrick Wynne, President of PET&W, RX 326 to 327).

As to Building 1400, the following took place on the record:

1 Mr. Barragan, you were going to give me the
2 information that we sought verifying the pretext,
3 what we considered to be the pretext of evicting
4 them from that space being the sprinklers because
5 we’ve scene (sic) nothing in the records that show a
6 sprinkler inspection, sprinkler problems or
7 sprinkler repair. I think it’s a good opportunity

8 for me to say that we contend that's pretextual and
9 the lack of information provided by the Port
10 Authority confirms that.
11 MR. BARRAGAN: Okay.
12 MR. BURKE: Okay?
13 MR. BARRAGAN: Sure.

(Deposition testimony of Patrick Wynne, President of PET&W, RX 363).

The I.D. correctly notes but fails to appreciate the significance of the fact that warehouse space at 1400 Aruba Street was vacated by PET&W pursuant to the PANYNJ's direction "on December 31, 2014" and to this day "remains vacant." (I.D. page 32). This is despite PET&W's continuing efforts to lease 1400 Aruba Street. In this regard, the I.D. fails to address much less appreciate that the alleged "sprinkler problem" was a pretext of the PANYNJ to have PET&W vacate Building 1400. This was in furtherance of PANYNJ's continuing course of conduct to create economic hardship for PET&W so as to eliminate PET&W's operations at Port Newark. This course of conduct of the PANYNJ violates bedrock principles of the Shipping Act requiring Marine Terminal Operators to afford evenhanded treatment to tenants and others and not to impose "any undue or unreasonable preference or advantage" or "any undue or unreasonable prejudice or disadvantage with respect to any person" 46 U.S.C. § 41106(2); a Marine Terminal Operator may not "unreasonably refuse to deal or negotiate," 46 U.S.C. § 41106(3).

The comparison of leases of PNCT and PET&W is irrelevant because it does not address PET&W's contention that the PANYNJ violated the Shipping Act by not negotiating with PET&W for the property that was ultimately leased to PNCT, which at

the time of the negotiations between PANYNJ and PNCT was leased to and occupied by PET&W. The PANYNJ's actions placed PET&W at a competitive disadvantage and the Shipping Act provisions intended to provide an "evenhanded and efficient" shipping practice were flouted.

Commission precedent has established four elements of an unreasonable preference or advantage or unreasonable prejudice or disadvantage claim:

In order to establish an allegation of an unreasonable preference or prejudice, it must be shown that (1) two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of injury.

Ceres Marine Term., Inc. v. Maryland Port Admin., 27 S.R.R. 1251, 1270 (F.M.C. 1997) (footnote omitted), *aff'd in part, rev'd in part on other grounds sub nom, Maryland Port Admin. v. Federal Maritime Commission*, 164 F.3d 624 (4th Cir. Oct. 13, 1998).

The Shipping Act forbids ocean carriers and Marine Terminal Operators (MTOs) (including port authorities) from "giv[ing] any undue or unreasonable preference or advantage or impos[ing] any undue or unreasonable prejudice or disadvantage" with respect to "any person." 46 U.S.C. §§ 41106(2), 41104(8)-(9). Whether differential treatment qualifies as "undue" or "unreasonable" depends on whether the difference is justified. Not any justification will suffice; the disparity must be based on valid "transportation factors." The requirement that disparity in treatment of MTOs be justified by valid transportation factors predates the modern Shipping Act.

The original Shipping Act of 1916, and the Interstate Commerce Act (“ICA”) upon which it was modeled, similarly prohibit “common carrier[s] by water” and “common carrier[s]” from giving “any undue or unreasonable preference” or imposing “any undue or unreasonable prejudice or disadvantage.” *See* Shipping Act of 1916, Pub. L. No. 64-159, § 16, 39 Stat. 728, 734 (1916); ICA, ch. 104, § 3, 24 Stat. 379, 380 (1887).

For more than a century, courts have interpreted these identical prohibitions to require the same “transportation factor” nexus. In an early ICA case, the Supreme Court explained that differential treatment among similarly situated commercial parties is not illegal if “justified by the cost of the respective services, by their values, or by other transportation conditions.” *United States v. Ill. Cent. R.R. Co.*, 263 U.S. 515, 524 (1924); *accord New York v. United States*, 331 U.S. 284, 306 (1947); *L.T. Barringer & Co. v. United States*, 319 U.S. 1, 6-7 (1943); *Harborlite Corp. v. ICC*, 613 F.2d 1088, 1091-92 (D.C. Cir. 1979). The D.C. Circuit Court of Appeals, in interpreting the Shipping Act, has applied the same standard. *N.Y. Shipping Ass’n, Inc. v. F.M.C.*, 854 F.2d 1338, 1376 (D.C. Cir. 1988) (the Act “allow[s] only such discriminations and burdens on shippers as can be justified by transportation conditions”).

What is—and what is not—a valid “transportation factor” is well-settled. When a tangible characteristic of a transportation service affects its cost or value that is a valid transportation factor that can justify differential treatment. *See, e.g., Harborlite Corp.*, 613 F.2d at 1100-01 (“transportation circumstances” were “operating conditions” on transport routes that affected the cost of shipment); *Credit Practices of Sea-Land Serv., Inc.*,

No. 90-07, 1990 WL 427463, at *10 (F.M.C. Dec. 20, 1990) (“transportation factors” were “considerations having to do with the physical movement of cargo,” such as “size, weight, need for refrigeration, [or] special handling”); *Freight Forwarder Bids on Government Shipments at United States Ports—Possible Violations of the Shipping Act, 1916*, 19 F.M.C. 619, 624 (F.M.C. 1977) (AAM-104) (“transportation conditions” were “differences between the amount of work required to handle” one type of shipment versus another).

In contrast, a party’s identity or commercial status—*e.g.*, whether it directly owns the goods being transported, the scope of its business, its affiliation with other companies—are not legitimate “transportation factors.” Such characteristics (at least in the usual course) do not affect the value of the transportation services being offered and are not a valid basis for discrimination. *See, e.g., ICC v. Del., Lackawanna & W. R.R. Co.*, 220 U.S. 235, 252 (1911) (finding discrimination undue because it was based “not upon any difference inhering in the goods or in the cost of the service rendered in transporting them, but upon the mere circumstance that the shipper is or is not the real owner of the goods”); “50 Mile Container Rules” *Implementation by Ocean Common Carriers Serving U.S. Atl. & Gulf Coast Ports*, No. 81-11, 1987 WL 209053, at *65-67 (F.M.C. Aug. 3, 1987) (privileges solely for shippers with “a ‘proprietary interest’ in the cargo” were unlawful because they operated “not on the basis of any Shipping Act transportation circumstances, but solely on the basis of [certain shippers’] identity”); 50 Fed. Reg. at 38,896 (rates may not be based “upon the identity of the shipper,” such as whether it was a Non-Vessel Operating Common Carrier (“NVOCC”)).

In short, a “transportation factor” is a tangible characteristic of the transportation service being regulated or charged; it is not an unrelated commercial attribute of the party seeking or providing the transportation service and the PANYNJ has not presented any valid “transportation factor” under the Shipping Act to justify its treatment of PET&W.

In *Ballmill Lumber v. Port of New York*, 11 F.M.C. 494 (1968) (AAM-1-18), the Commission found a special lease term extended to one favored tenant “undue and unreasonable.” There, the port authority decided to require its lumber wholesaler tenants to use the port authority (or its agent or an approved contractor) for all backhandling of lumber. *Id.* at 495-97 (AAM-2-4). Ballmill’s new lease included that requirement. But three years later the port authority made an exception for the largest lumber wholesaler in Port Newark (Weyerhaeuser), allowing it to retain the right to backhandle its own lumber. *Id.* at 495-96 (AAM-2-3). Ballmill challenged the disparity.

Before the Commission, the PANYNJ argued that Weyerhaeuser had a stronger negotiating position because, among other things, it “was ready to leave Port Newark if it did not retain these rights” and, indeed, had already “negotiated with Port Elizabeth [a new port] for terminal facilities there.” *Id.* at 501. The Commission rejected that argument, holding squarely that “[t]hese contentions afford no ground” that would justify the disparate treatment. *Id.* The Commission appreciated the port authority’s commercial position and placed no “blame” on either party for “the bargain they struck.” *Id.* at 502. It simply held that, when “the Port Authority decided to retreat from its policy of

retaining control in the case of Weyerhaeuser, it became incumbent upon them to treat its other tenants in a similar fashion.” *Id.* at 502-03.

Several decades later, in *Ceres Marine Terminal v. Maryland Port Administration*, 27 S.R.R. 1251 (F.M.C. 1997) the Commission reached a similar conclusion. There, an independent MTO (Ceres) complained that the Maryland Port Administration (MPA) improperly provided Maersk (an MTO and ocean carrier) with better rates for dockage, crane rental, and land rental. *Ceres*, 1997 F.M.C. Lexis 32, at *93. The MPA argued that “the difference in charges [was] based on permissible circumstances because Maersk and Ceres . . . operate[d] under different transportation circumstances.” *Id.* at *95. Among other things, it argued that, “[a]t the time of its negotiations with Maersk . . . [MPA] feared it was about to lose Maersk, described as its ‘most important ocean carrier service.’” *Id.* at *44. In its Exceptions before the Commission, the MPA said that it “was threatened with the loss of all business from Maersk”—as Maersk had recently “switched one of its services from Baltimore to Norfolk” and “the Virginia Port Authority [had] offered additional incentives to convince Maersk to switch *all* remaining Baltimore service to Norfolk.” Exceptions of the Maryland Port Administration 12, *Ceres*, No. 94-01 (F.M.C. Nov. 6, 1996) (AAM-22). The MPA explained that losing Maersk “would have dealt a devastating blow,” and so, “[t]o keep Maersk at the Port, MPA offered Maersk incentive terms.” *Id.* (emphasis added); see also *Ceres*, 1997 F.M.C. Lexis 32, at *48 n.22, 67 (citing these claims).

In *Ceres*, the carrier-affiliated MTO (Maersk) promised to make a certain number of “vessel calls” at the Port of Baltimore. The non-affiliated MTO, Ceres, did not make a “vessel call” guarantee, but it did make a “cargo guarantee” just as large. The F.M.C. found this to be a distinction without a difference: the port’s “accordance of significance only to Maersk’s vessel call guarantee, by virtue of its status as a carrier, [was] patently unreasonable in light of . . . the vessel call guarantees inherent in [Ceres’] cargo guarantee . . . and its ability to attract carrier customers who do control vessel calls.” *Ceres*, 1997 F.M.C. Lexis, at *98-99. On remand from the Fourth Circuit, the Commission reaffirmed that there was no legally relevant “differ[ence]” between Maersk’s vessel call guarantee and Ceres’ cargo guarantee. Order Addressing Issues on Remand from Fourth Circuit 47, *Ceres Marine Terminals, Inc. v. Md. Port Admin.*, No. 94-01 (F.M.C. Aug. 15, 2001).

The Commission rejected all those arguments and held that the MPA had unlawfully discriminated based on status. Differentiation “between port users” had to be “reasonable,” the Commission explained, *Ceres*, 1997 F.M.C. Lexis 32 at *102, and preferring an MTO because it was also an ocean carrier (which had threatened otherwise to leave the port) was not “reasonable.” *Id.* at *58, 97-105. On remand from the Fourth Circuit, the Commission reaffirmed that there was no legally relevant “differ[ence]” between Maersk’s vessel call guarantee and Ceres’ cargo guarantee.” Order Addressing Issues on Remand from Fourth Circuit 47, *Ceres Marine Terminals, Inc. v. Md. Port Admin.*, No. 94-01 (F.M.C. Aug. 15, 2001).

Once a Complainant demonstrates a difference in treatment, the burden shifts to the respondent to justify the difference in treatment based on legitimate transportation factors. *Ceres Marine Terminals, Inc. v. Maryland Port Administration*, 27 S.R.R. 1251, 1270-71 (F.M.C. 1997). Placing the “burden of justifying the difference in treatment based on legitimate transportation factors” on the respondent is well-established. *Ceres*, 1997 F.M.C. Lexis 32, at *90; *accord Plaquemines Port, Harbor & Terminal Dist. v. F.M.C.*, 838 F.2d 536, 548 (D.C. Cir. 1988) (affirming Commission decision applying burden-shifting approach).

The Shipping Act permits differential treatment among similarly situated parties only where valid differences in underlying circumstances actually motivated the decision-maker *at the time*. Post-hoc explanations created in litigation to justify differential treatment do not suffice. *See Ceres*, 1997 F.M.C. Lexis 32, at *101 n.52 (rejecting claim that port’s worry about “Ceres’ ability to pay liquidated damages” justified its disadvantaged treatment because “there is no evidence of any such concern earlier”); *50 Mile Container Rules*, 1987 WL 209053, at *70 (rejecting “post hoc rationalization” for precluding “certain shippers from fully utilizing off-pier containerization”); *cf. United States v. Virginia*, 518 U.S. 515, 533 (1996) (“justification [for sex-based classification] must be genuine, not hypothesized or invented *post hoc* in response to litigation”); *Tex. Dep’t of Cmty. Affairs v. Burdine*, 450 U.S. 248, 256 (1981) (plaintiff can prove discrimination by “demonstrat[ing] that the proffered reason was not the true reason for the employment decision”); *Local 357, Int’l Bhd. of Teamsters, Chauffeurs, Warehousemen &*

Helpers of Am. v. NLRB, 365 U.S. 667, 675 (1961) (“It is the ‘true purpose’ or ‘real motive’ in hiring or firing that constitutes the test.”). In this regard, the I.D. correctly notes the lack of a “written contemporaneous analysis of costs and benefits of competing leases and when priorities and business needs” in the instant matter and that the PANYNJ (and other ports) would be on “stronger footing” if decisions were documented, yet rejected the sworn testimony of the PANYNJ’s Federal Rule of Civil Procedure 30(b)(6) designated representative regarding the lack of facts justifying the PANYNJ’s decisions and the I.D. improperly proceeded to engage in a post hoc analysis (not even presented by PANYNJ) in an attempt to justify the PANYNJ’s actions challenged here.

In analyzing PETW’s claims that the PANYNJ gave an undue or unreasonable preference or advantage to other marine terminal operators, including PNCT, FAPS, and Columbia Coastal, the I.D. correctly applied the 4-part *Ceres* analysis: whether (1) two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of injury. (I.D. at 23). The I.D. correctly determined that PET&W “compete to lease warehousing facilities” with the other tenants “which is sufficient for section 41106(2) to apply.” (I.D. at 24). Similarly, the I.D. correctly determined that “**PETW has established that it and PNCT were treated differently.**” (I.D. at 25) (emphasis added).

In analyzing whether the PANYNJ’s “unequal treatment” of PET&W was “justified by differences in transportation factors”, the I.D. was understandably disturbed by the PANYNJ’s “lack of a transparent and clearly articulated basis for making leasing decisions such as when to issue an RFP.” (I.D. at 33). The I.D. was also justifiably concerned about the lack of a written contemporaneous analysis documenting the PANYNJ’s reasoning to support its decisions stating:

Ports, however, are on stronger footing when they rely on written contemporaneous analysis of costs and benefits of competing leases and when priorities and business needs are well-documented.

(I.D. at 34).

Further, the I.D. correctly notes the concerns that port authorities must be adequately regulated under the Shipping Act to combat anti-competitive behavior observing:

[A] port authority generally has a monopoly over the port property. It uses this monopoly to produce income in two ways relevant to this analysis: to lease property for rent and to provide access to the port for fees. In both the *Maher Terminals* case and this proceeding, the Port Authority is tying the lessees’ ability to lease property to the lessees’ ability to increase port traffic, and presumably, port revenue.

Traditionally, tying arrangements raised antitrust concerns.

A tying arrangement is an agreement between a seller and a buyer under which the seller agrees to sell a product or service (the tying product) to the buyer only on the condition that the buyer also purchases a different (or tied) product from the seller or the buyer agrees not to purchase the tied product from any other seller. Tying arrangements can be used to tie together not only different products but also

services, leases, franchises, licenses to intellectual property, or combinations of any of those things.

Kate Wallace, *The Wonderful World of Tying*.³ See also *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, 32 S.R.R. 1133, 1164-1165 (A.L.J. 2013) (Notice Not to Review, March 20, 2013). Thus, to some extent, the tying of port leases to port traffic seems like it could be an unreasonable restraint of trade.

Despite these concerns, however, the I.D. concludes:

The Port Authority made a business judgment that the PNCT lease, including significant port investments, minimum throughput requirements, and port guarantees, was a better use of land than the lease options offered by PETW, which was in significant arrears. Given the facts presented in this proceeding, that determination was not unreasonable. The evidence indicates that the Port Authority had a reasonable basis for making these leasing decisions based on legitimate transportation factors.

(I.D. at 35).

In concluding that “[t]he evidence indicates that the Port Authority had a reasonable basis for making these leasing decisions based on legitimate transportation factors” the I.D. fails to give appropriate weight to the undisputed testimony of the Federal Rule of Civil Procedure 30(b)(6) witness designated by the PANYNJ to “testify about information known or reasonably available to [PANYNJ]” who gave the following uncontradicted testimony:

- 4 Q. So there has to be an articulation about
5 how one marine terminal operator is being treated as
6 opposed to another marine terminal operator. Do you
7 understand that?
8 A. Uh-hum.

9 Q. Okay. And you're a corporate
10 representative of the Port Authority, and you're here
11 to answer questions about that here today. Is that
12 your understanding?

13 A. Yes.

14 Q. Okay. So what I'm trying to get at is,
15 as a corporate representative, do you have any facts
16 that would justify the Port Authority's failure to
17 allow Port Elizabeth Terminal & Warehouse Corporation
18 to negotiate for the property that was ultimately
19 leased to Port Newark Container Terminal?

20 A. No.

(See Deposition testimony of PANYNJ's designated representative taken pursuant to Rule 30(b)(6), RX 77) (emphasis added)).

Thus, the conclusions set forth in the I.D. that justify the Port Authority's failure to allow Port Elizabeth Terminal & Warehouse Corporation to negotiate for the property that was ultimately leased to PNCT conflict with the sworn and un rebutted testimony of the PANYNJ's designated representative. This is a disturbing rejection of competent and un rebutted evidence that must be addressed and corrected by the Commission.

The I.D. similarly rejected the un rebutted testimony of the PANYNJ's designated representative on the issue of whether the PANYNJ gave undue or unreasonable preference to FAPS and Columbia Coastal. The I.D. correctly noted:

PETW also claims that the Port Authority gave undue or unreasonable preference to FAPS and Columbia. In a meeting on November 19, 2010, and a July 18, 2011, letter, PETW made the CenterPoint proposal to construct a state-of-the-art warehouse facility on an empty lot to make up for part of the space it would lose due to the PNCT expansion. RX 481-483, RX 316- 317. The land proposed for the CenterPoint proposal was initially used by FAPS and then Columbia. RX 431.

The PANYNJ's designated representative gave the following testimony at his deposition taken pursuant to Rule 30(b)(6) which remains unrebutted:

3 Q. So can you provide as a representative of the
4 Port Authority any business reason for not offering
5 Port Elizabeth the opportunity to bid for the
6 property, the one from FAPS to Coastal Container?

7 A. The only thing I can represent is that it
8 was open area.

9 Q. Okay.

.....

20 Q. Okay.

21 A. I just know that Columbia Coastal had the
22 lease.

23 Q. And sitting here as a representative, you
24 can't offer any business justification for that
25 decision. Right?

1 MR. BARRAGAN: Objection to form. He
2 testified he doesn't have a recollection.

3 Q. Yes.

4 A. I can't.

(See Deposition testimony of PANYNJ's designated representative taken pursuant to Rule 30(b)(6), RX 204 to RX 205).

The PANYNJ's designated 30(b)(6) witness's testimony continued:

10 Q. You're here as a representative of the
11 Port Authority to answer questions about the treatment
12 of Port Elizabeth [PET&W]. That's why I'm asking you, you
13 as the representative of the Port Authority, give me –
14 can you give me any factual justification for the Port
15 Authority's decision not to allow Port Elizabeth to
16 bid on the property that went from FAPS to Coastal
17 Container?

18 MR. BARRAGAN: Objection to form.
19 Already asked and answered.

20 Q. Can you do that?

21 A. No.

(See Deposition testimony of PANYNJ’s designated representative taken pursuant to Rule 30(b)(6), RX 206).

“[T]he testimony of the Rule 30(b)(6) designee is deemed to be the testimony of the corporation itself.” *State Farm Mut. Auto. Ins. Co. v. New Horizon*, 250 F.R.D. 203, 212 (E.D. Pa. 2008). The I.D. disregards the importance of testimony of a witness designated to testify on behalf of an entity pursuant to Federal Rule of Civil Procedure 30(b)(6) witness by stating:

The Port Authority designated representative said he was not at the Port Authority and did not know when asked to give “any factual justification for the Port Authority’s decision not to allow Port Elizabeth to bid on the property that went from FAPS to [Columbia] Coastal Container.” RX 204-206.

(I.D. at 36).

The undisputed fact is that the PANYNJ’s Federal Rule of Civil Procedure 30(b)(6) designated witness, speaking on behalf of the PANYNJ, could not provide “any factual justification for the PANYNJ’s decision not to allow Port Elizabeth to bid on the property that went from FAPS to Coastal Container.”

The failure of the I.D. analysis to accept the sworn testimony of the PANYNJ’s representative designated pursuant to Federal Rule of Civil Procedure 30(b)(6) may be based on a distorted reading of the Commissions pronouncement in *Maher Terminals, Inc. v. The Port Authority of New York and New Jersey*, 34 S.R.R. 322, 326 (2016) (“*Maher Settlement*”) to give deference “to public port authorities.” This cannot be taken to mean that a public port authority that cannot meet its burden of producing evidence justifying its decisions to treat a tenant differently from others should escape scrutiny under the

Shipping Act. This would be an abdication of the Commission’s responsibilities to insure marine terminal operators, including public port authorities, act in an evenhanded manner, *In re Vehicle Carrier Servs. Antitrust Litig.*, *supra*, at 79-80 (3d Cir. 2017), not engage in anti-competitive conduct by unreasonable preference and prejudice and by unreasonably refuse to deal or negotiate. The Shipping Act goal is an open and competitive environment and not one where decisions are made on the basis of factors other than “transportation factors.”

Section 41106(3) of the Shipping Act states that a marine terminal operator may not “unreasonably refuse to deal or negotiate,” 46 U.S.C. §41106(3). “This requires a two-part inquiry: whether [respondent] refused to deal or negotiate, and, if so, whether its refusal was unreasonable.” *Canaveral Port Auth.*, 29 S.R.R. 1436, 1448 (F.M.C. 2003). The Commission has held that a port authority’s refusal to consider a proposal constitutes a refusal to deal or negotiate. *Canaveral Port Auth.*, 29 S.R.R. at 1448. With respect to a port authority, “in determining reasonableness, the agency will look to whether a marine terminal operator gave actual consideration of an entity’s efforts at negotiation.” *Canaveral Port Auth.* 29 S.R.R. at 1450. The Shipping Act prohibits “shutting out” any person for reasons having no relation to legitimate transportation-related factors. *New Orleans Stevedoring Co. v. Bd of Commissioners of the Port of New Orleans*, 29 S.R.R. 345, 351 (ALJ 2001), *aff’d*, 29 S.R.R. 1066, 1070 (F.M.C. 2002). Thus, to prevail on a refusal to deal claim, a complainant must allege that a party refused to deal or negotiate and that the complainant was unreasonably shut out from negotiations.

The PANYNJ shut out PET&W from negotiations on a number of proposals and it cannot articulate a reasonable, non-discriminatory transportation related justification for its refusal. Accordingly, the Commission must vacate the finding that the PANYNJ was justified in its treatment of PET&W.

C. The facts show the PANYNJ's Shipping Act violations caused PET&W damage and the I.D. analysis on this issue should be rejected

PET&W sustained and continues to sustain injuries and damages, including but not limited to lost profits, damage to its business interests, higher rents, costs, and other undue and unreasonable payments because of the anti-competitive conduct of PANYNJ that increased the cost of PET&W's operation as set forth above. The I.D. rejected PET&W's request to estop the PANYNJ from asserting that PET&W's financial difficulties, which PANYNJ caused, as a justification for PANYNJ's further Shipping Act violations. The I.D. ignored the evidence presented showing Shipping Act violations by the PANYNJ and that those violations caused damage to PET&W. If the PANYNJ had negotiated with PET&W and provided suitable space for it to conduct its operations rather than failing to negotiate and applying different standards to PET&W as compared to other tenants such as PNCT, FAPS and Columbia Coastal, it is logical to assume PET&W would have continued its operations at the 2010 levels.

The I.D. failed to appreciate the analysis and conclusions of plaintiff's expert David Gouiran, a well-credentialed economist who stated: "PANJNY has systematically, over the course of the last 4 years at least, been requesting Port Elizabeth move out of

buildings previously leased, refusing to renew Leases and in at least one case, sought eviction” Mr. Gouiran analyzes damages as follows:

Damages:

Port Elizabeth was forced to vacate the following buildings with move-out dates:

1. Building 1400 Aruba Street 12/31/2014-138,400 square feet;
2. Building 191 Export Street 3/31/2015 104,000 square feet, Rail served;
3. Building 194 Panama Street 3/31/2015 -104,000 square feet, Rail served,
4. Building 199 Panama Street 3/31/2015 104,000 square feet, Rail served;
5. Building 292 Marlin Street 11/30/2015 -91,855 square feet;
6. Building 201 Clipper Street 10/23/17-156,000 square feet, Rail served;
7. Building 202 Clipper Street 10/23/17 156,000 square feet Rail served;

Total space: 854,255 square feet

Higher Rent Costs: Average gross rent in the seven buildings listed above \$6.75 per square foot.

Replacement Buildings:

150 Industrial Avenue, Jersey City, New Jersey

201 Bay Avenue, Elizabeth, New Jersey

123 Pennsylvania Avenue, Kearny, New Jersey

Average gross rent in the above replacement buildings: \$8.34 per square foot.

Space in replacement buildings: 645,983 square feet.

Transfer Costs - Warehouse Handling and Transportation:

Buildings 1-5 above, 1054 loads at \$250.00 per load: \$263,500.

Buildings 6-7 above, 355 loads at \$325.00 per load: \$115,375.

Total transfer costs: \$422,750

Loss of Business (and continuing):

Company A²: Completely ceased business in June 2017: \$1,500,000.

Company B: Completely ceased business in June 2017: Annualized revenue in 2017: \$785,688; Average revenues 2014-2017: \$1,049,954.

Company C: Reduced business over last 2 years. For the purpose of this Report, lost revenue not counted until 2018: \$7,055,100.

² Company names not identified.

Company D: For the purpose of this Report, lost revenue not counted until 2018: \$2,800,000.

Increase in Cost of Doing Business:

Company B: 2015 – June 2017: \$391,500 annually.

Other “Building 201” & “Building 202” Accounts in 2017: 8200 containers @ \$100: \$820,000

(PET&W’s Proposed Findings of Fact and Conclusions of Law, Exhibit E).

Mr. Gouiran stated his opinion as follows:

Within a reasonable degree of economic certainty, and based on the facts provided to us and the analysis contained in this Report, it is our professional opinion that the total economic losses of Complainant already, and reasonably projected to be incurred, is twenty-one million nine hundred fifteen thousand one hundred sixty-five dollars (\$21,915,165).

(PET&W’s Proposed Findings of Fact and Conclusions of Law, Exhibit E).

Thus, the conclusion set forth in the I.D. that “[t]here is not sufficient evidence to determine that the resulting prejudice or disadvantage, if there was any from the Port Authority’s leasing decisions, was the proximate cause of injury to PETW” is contrary to the unrebutted facts presented and should be rejected by the Commission.

D. The claims of PET&W are timely

Under the Commission’s discovery rule, the limitations period begins to run only when the complainant possesses “conclusive information about such a dispute.” *Inlet Fish Prod, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 306, 313 (F.M.C. 2001). The Commission adopted the discovery rule favoring “a flexible approach to the accrual of a cause of action” because “a flexible rule permitting the inclusion of complaints that would otherwise be dismissed under a more strict approach would allow the Commission to

pass on the legality of allegedly injurious conduct,” whereas a “stricter rule would exonerate certain respondents even if their conduct was unlawful, simply because a potential complainant was unable to identify the existence of its cause of action.” *Id.* at 313. The Commission explained that it is not enough that the complainant had “some suspicion” of the disparity and even possessed documents showing the disparity, or in that case even had suspicion and documents showing the disparity. To the contrary, under the Shipping Act, the complainant must have “conclusive information” that a third party received unduly preferential treatment in violation of the Shipping Act. *Id.*

In this case, it is undisputed that the longstanding course of conduct and continuing promises by PANYNJ to PET&W that PET&W would be treated in similarly to PNCT and other Marine Terminal Operators up until 2017 vitiates such “conclusive information” and the three year statute of limitations was tolled by the discovery rule until 2017. In other words, PANYNJ lulled PET&W into not asserting its rights with its longstanding course of conduct and promises PANYNJ would treat PET&W in conformance with the treatment PANYNJ was affording to other Marine Terminal Operators. Indeed, on July 18, 2016, PET&W submitted a proposal for the lease of 1400 Aruba Street in response to PANYNJ Request for Proposal 46041. (PET&W -626). On February 2, 2017, PET&W wrote to Ms. Cheryl Yetka, Treasurer, Mr. Sam Ruda, Deputy Director of the Port Department and Mr. Michael Bozza, Leasing Manager, again advising the PANYNJ of its attempts to gain additional lines of credit and stating:

Maintaining and growing our revenues is the critical part of this financing agreement, and therefore for many reasons it is

vital that we are able to re-locate the 201 and 202 business to Building 1400 and Buildings 265 – 267 and 268 (the former Lafarge site). As you know Building 1400 is a warehouse we occupied under a sub lease until we needed to vacate it for the sprinkler system repairs. This building is ideally situated and suited to handle slightly less than 50% of the business from 201 and 202. In addition Building 1400 provides operational efficiencies that no other building will have due to the proximity to the Hartz building we now lease for a 10 year term. In addition to the warehouse we must also replace our office complex at 201A Export Street, and the 1400 office satisfies that need.

(PET&W -599).

Having received no response, PET&W followed up with PANYNJ requesting a response on multiple occasions. As late as April 2018, PANYNJ did not reject PET&W's proposal. Instead, on April 11, 2017, PANYNJ asked PET&W to provide "the total annual rail volume, in rail cars, for the years 2014-2016." (PET&W -622). PET&W provided the request information the same day. (PET&W -623). On April 28, 2017, PET&W requested a response to its proposal, noting: "We have several very large accounts (Nestle Waters, Soporcel and UPM) that are directly afflicted by our space restraints and they have been asking us for the timing on our advising them. As previously discussed these accounts are critical to our plan to repay the past due rent. They are also major customers through the Port of New York & New Jersey. We appreciate your efforts on finding a solution that works for both parties." (PET&W -624).

In hindsight, it is clear that PANYNJ sought through this course of conduct to delay action by PET&W until the statute of limitations had run – a classic and well accepted reason for tolling the statute of limitations.

The PANYNJ's designated representative did not deny such a course of action which was abruptly changed by the PANYNJ in 2017:

- 14 Q. So -- well, do you dispute that over
15 those 40 years up until recently, that the Port
16 Authority and Port Elizabeth Terminal & Warehouse have
17 been able to negotiate deals to their mutual
18 satisfaction that accommodates both sides' interests?
19 A. Yes.
20 Q. And that includes moving the physical
21 location of Port Elizabeth Terminal & Warehouse
22 operation on occasion.
23 A. Yes.
24 Q. So those things are undisputed. Am I
25 right?
1 A. Yes.

(*See* Deposition testimony of PANYNJ's designated representative taken pursuant to Rule 30(b)(6), RX 58 to RX 59).

Thus, PET&W lacked the “conclusive information” of unduly preferential treatment to trigger the statute of limitations until 2017 based upon PANYNJ's course of conduct and promises that PET&W would be treated in conformity with PNCT and other marine terminal operators and the instant claims are timely.

The preference and prejudice and refusal to deal continue to present.³ As to the refusal to provide rules and regulations pertaining to Requests for Proposals, the following exchange took place at deposition:

21 We have asked the Port Authority to give
22·us the rules and regulations, which you're obligated
23·to have under the Shipping Act.· You haven't given
24·us anything.· We contend that this RFP process is a
25·pretext for pushing my client out of the Port and
1·favoring other clients.· If you don't give us the
2·regulations on the RFP, then that proves it's
3·pretext.
4·I wanted to ask you once again, will
5·you please give us those things because if you
6·don't, I think it's a strong inference it's all a
7·pretext to disadvantage my client and to prefer
8·other entities, marine terminal operators that the
9·Port Authority prefers.

(See Deposition testimony of PANYNJ's designated representative taken pursuant to Rule 30(b)(6) RX 393 to 394).

Thus, an adverse inference should be taken as a result of the PANYNJ's refusal to provide basic discovery, which the I.D. fails to do.⁴

CONCLUSION

For the foregoing reasons, Complainant PET&W requests that the Commission reject the analysis and conclusions set forth in the I.D. and enter Judgment against

³ On May 22, 2018, Complainant Port Elizabeth Terminal & Warehouse Corp. requested leave to file an Amended Complaint which should be addressed by the Commission.

⁴ An adverse inference was requested but denied by the I.D. regarding the failure of PANYNJ to produce relevant records and documents as requested in PET&W's Notice to Take the Deposition of PANYNJ's designated representative pursuant to Federal Rule of Civil Procedure 30(b)(6). The I.D. refused to do so (I.D. at 3-4) but PET&W urges the Commission to address the PANYNJ's failure and draw whatever inference it believes is appropriate.

Respondent Port Authority of New York and New Jersey in favor of Port Elizabeth
Terminal & Warehouse Corporation for violating the Shipping Act.

Respectfully submitted,

LAW OFFICE OF DONALD F. BURKE
Attorneys for Complainant
PORT ELIZABETH TERMINAL & WAREHOUSE
CORP.

By: s/ Donald F. Burke
Donald F. Burke, Esq.

Dated: April 16, 2019

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 17-07

**PORT ELIZABETH TERMINAL & WAREHOUSE CORP.
COMPLAINANT**

v.

**THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY
RESPONDENT**

CERTIFICATION OF SERVICE

I, Donald F. Burke Jr., Esq., of full age, do certify as follows:

A copy of Complainant Port Elizabeth Terminal & Warehouse Corp.'s Memorandum and Brief Excepting to Conclusions, Findings, or Statements Contained in the Initial Decision of Honorable Erin M. Wirth, Administrative Law Judge, has been served as follows:

Juan Barragan, Esq.
The Port Authority of New York and New Jersey
4 World Trade Center
150 Greenwich Street
New York, New York 10007

I certify that the foregoing statements made by me are true. I am aware that if any of the foregoing statements are willfully false, I am subject to punishment.

By: s/ Donald F. Burke Jr.
Donald F. Burke Jr., Esq.

Dated: April 16, 2019